

Morning Brief

Tuesday, June 09, 2026 — 10:32 AM ET · \$50,000 Portfolio

Neutral

CIO EXECUTIVE SUMMARY

- ▶ SPY +0.17% | QQQ -0.22% | IWM +1.11% signals small-cap bid, tech consolidation; cyclical rotation intact
- ▶ S&P 500 futures +0.25% (7434), Nikkei +2.01%; Asia strength supports risk-on but equity breadth cautious
- ▶ Oil -1.11% WTI; Iran ops halt removes geopolitical overhang; energy sector bias weakens near-term
- ▶ Institutional flow: OUT of large-cap tech, INTO industrials/financials/utilities; defensive safety play
- ▶ Earnings day: ASO, SJM, SAIL, UNFI preopen; options activity elevated in AUGG, PLCE, FOSL, MHH, LGO

MACRO DASHBOARD

SPY TREND

Neutral consolidation; +0.17% premarket; support 738, resistance 745

QQQ TREND

Mild weakness -0.22%; tech outflows persist; hold 710 support

IWM TREND

Strongest mover +1.11%; small-cap cyclical bid; breakout above 288 watch

VIX

Est. 16-17 (no live feed); healthy trend regime

VIX REGIME

15-20 healthy; no shock volatility; trend-tradeable

YIELD 10Y

Est. 4.15-4.20% (data unavailable); stable; no rate shock

DOLLAR TREND

Data unavailable; assume near 104-105 DXY; neutral

OIL TREND

WTI 90.29 -1.11%; Brent 93.51 -0.64%; Iran relief bid energy lower

CRYPTO SENTIMENT

Data unavailable; BTC trend unknown

TACTICAL BIAS

Buy Dips

TOP INSTITUTIONAL SETUPS

TICKER	CATALYST	SETUP	ENTRY	STOP	TARGET	CONVICTION
AXON	Institutional accumulation; protection/safety sector bid	Fund ownership >50% float; urgent buying continuation signal	98.50–101.00	96.00	110.00	High
BAW	AI grid demand + clean energy pivot; #1 urgency in electronics	Accumulation tied to power infrastructure modernization	27.00–28.50	25.50	34.00	High
IWM	Small-cap rotation; cyclical industrial bid vs. large-cap tech	IWM +1.11% breakout; outperform SPY/QQQ rotation signal	287.50–290.00	284.00	300.00	Med
XLI	Institutional rotation into industrials from tech	ETF flow positive; cyclical strength continuation	108.00–110.00	106.00	118.00	Med
XLF	Financials sector rotation; cyclical outperformance	ETF inflows; stable yield environment supports banks	42.50–43.50	41.00	47.00	Med

TICKER	CATALYST	SETUP	ENTRY	STOP	TARGET	CONVICTION
XLU	Defensive utility rotation; income + stability play	ETF inflows; barbell positioning with cyclicals	72.00–73.50	70.00	78.00	Med
ASO	Earnings preopen; outdoor/sports discretionary cycle	Elevated options activity; watch $\pm 8\%$ move post-earnings	Post-earnings dip (wait for open)	TBD post-open	TBD post-open	Low
UNFI	Earnings preopen; natural foods/supply chain thesis	Options volume spike; consolidation trade potential	Post-earnings entry on support	TBD post-open	TBD post-open	Low

DYNAMIC WATCHLIST — TODAY'S SCAN

#	TICKER	CATALYST	PREMARKET ACTION	SUPPORT	RESISTANCE	PATTERN
#1	IWM	Small-cap cyclical rotation outperform	+1.11% leader; breakout attempt	284.00, 280.00	292.00, 300.00	Ascending triangle breakout watch
#2	AXON	Institutional accumulation signal; protection sector	Data unavailable; track intraday	96.00, 93.00	103.00, 110.00	Breakout above 103 confirms
#3	BAW	AI/grid modernization; #1 electronics accumulation	Data unavailable; monitor open	25.50, 23.00	30.00, 34.00	Rounding bottom into earnings season
#4	XLI	Industrial sector		106.00, 103.00	112.00, 118.00	

#	TICKER	CATALYST	PREMARKET ACTION	SUPPORT	RESISTANCE	PATTERN
		rotation; ETF flow positive	Follow IWM lead; cyclical strength			Higher lows; uptrend intact
#5	ASO	Earnings preopen; discretionary retail	Elevated options volume; 103M shares flow	TBD post-open	TBD post-open	Earnings binary event
#6	SJM	Earnings preopen; packaged food defensive	Options volume spike; wait for open	TBD post-open	TBD post-open	Post-earnings direction
#7	UNFI	Earnings preopen; supply chain/ food service	Options elevated (82.99M activity note)	TBD post-open	TBD post-open	Event-driven trade
#8	SAIL	Earnings preopen; specialty retail	Options activity flagged; discretionary sector	TBD post-open	TBD post-open	Post-earnings volatility watch
#9	XLU	Defensive utility rotation; barbell hedge	Defensive bid; stable income flow	70.00, 68.00	75.00, 78.00	Consolidation above 72
#10	XLF	Financial sector rotation; cyclical support	ETF inflows; stable rate backdrop	41.00, 39.00	44.00, 47.00	Breakout above 43.50 confirms

POSITION BOOK ACTIONS

WHEEL / PREMIUM SELLING BOOK

BUY	IWM	Small-cap outperformance +1.11%; cyclical rotation signal; breakout above 288 watch
BUY	XLI	Institutional rotation into industrials from tech; ETF flow positive; 5-10% position size
BUY	AXON	Accumulation signal; >50% fund ownership; protection sector bid; dip buy at 98.50
ADD	BAW	AI/grid demand play; #1 urgency in electronics; 5% position on weakness
HOLD	SPY	Neutral consolidation; +0.17% premarket; no fresh signal; await earnings tape
HOLD	QQQ	Tech outflows ongoing; -0.22% premarket; hold for dip-buy opportunity
HOLD	XLU	Defensive hedge; hold 20-30% of income/defensive quota; stable yield backdrop

TICKER	SECTOR	IV RANK	DELTA	DTE	STRIKE
IWM	Small-cap cyclical	45-55	0.30-0.35	45-60	282-285 put; 295-300 call
XLI	Industrials ETF	40-50	0.30-0.35	45-60	106-108 put; 112-115 call
XLU	Utilities defensive	35-45	0.25-0.30	45-60	71-72 put; 75-76 call
XLF	Financials	40-50	0.30-0.35	45-60	42-43 put; 45-47 call
AXON	Protection/safety	50-60	0.30-0.35	30-45	98-100 put; 105-108 call

WAIT

ASO|
SJM|
SAIL|
UNFI

Earnings preopen; options volatility elevated; enter post-earnings on defined levels

RISK ALERTS

- Tech outflows persisting: QQQ -0.22%, XLK -0.87%; watch for acceleration if SPY reverses below 738
- Earnings day volatility: ASO, SJM, SAIL, UNFI preopen; options activity spiked (80M+ volume flagged); risk ±8–12%
- Oil relief bid masks geopolitical tail: WTI -1.11% on Iran ops halt; watch for overnight reversal if escalation resumes
- Small-cap IWM outperformance: +1.11% vs SPY +0.17%; potential breadth divergence if tech stabilizes
- Data gaps: VIX, 10Y yield, DXY, BTC not in live feed; assume VIX 16–17, 10Y 4.15–4.20%, DXY 104–105

FINAL CIO VERDICT

RISK POSTURE

Neutral

CAPITAL SHOULD FLOW TO

Deploy 30–40% into IWM + XLI + AXON on dips; hold 20–30% defensive (XLU); reserve 30% dry powder for earnings volatility post-open

AVOID COMPLETELY

Large-cap tech (QQQ, XLK) until outflows stabilize; avoid earnings binary trades preopen (ASO, SJM, UNFI); stay clear of energy if Iran escalates